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Revamping enterprise-based training in the Philippines: Addressing barriers and disincentives to industry involvement*

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Introduction

Enterprise-based training (EBT) is widely recognized as the preferred delivery mode[1] in industries and is considered part of the solution to the skills mismatch problem[2] (Orbeta and Paqueo 2022). EBT, primarily delivered in the firm or enterprise, is associated with better labor market outcomes for trainees, increased productivity, profitability, and innovation among participating firms, and higher overall labor productivity and competitiveness in the technical-vocational education and training (TVET) literature.

Despite these potential positive effects, industry engagement in the Philippines remains low, as evidenced by the limited contribution of EBT to training output (Orbeta 2022; Epetia and Villena 2023). The lack of active participation from the private sector suggests underlying issues that

* This *Policy Note* is based on PIDS Discussion Paper 2024-06. An Assessment of the Enterprise-Based Training Modality in the Philippines: Barriers, Incentives, and Policy Gaps (Generalao et al. 2024).
[1] Other delivery modes include institution-based, community-based, and monitored training programs (Orbeta 2022).
[2] These include but are not limited to overeducation (Epetia 2018), skill shortages (Acosta et al. 2017; Campos 2017; Jaymalin 2018; ADB 2021), and training-job mismatch (Generalao 2019; ADB 2021).

Salient Points:

- The engagement of industries in technical-vocational education and training in the Philippines remains low. This is evident from the stagnant contribution of enterprise-based training (EBT) to overall training output. Factors include unclear definitions and scope of EBT, limited capacity among implementers, unresponsive training programs, and intersectoral and coordination challenges across sectors and agencies.
- Financial and nonfinancial incentives have failed to attract firms, enterprises, and private technical vocational institutions to implement EBT due to unclear policy guidelines and the administrative burden of program registration and incentive availment.
- To address these issues, the government must enhance EBT measurement; involve industry experts in training provision, assessment, and development; streamline program certification; and boost industry engagement. Improving efficiency and transparency in availing and allocating incentives, while considering alternative financing mechanisms, is also essential.

need to be identified and addressed. These issues include incompatible incentives, a lack of financing mechanisms (Orbeta and Esguerra 2016), and shortcomings in the assessments of existing EBT laws and policies (ADB 2021).

This *Policy Note* provides an overview of the EBT situation in the Philippines, drawing on existing research, recent data, and findings from key informant interviews (KIIs)[3] with various stakeholders. It examines the barriers to industry participation and evaluates existing incentive mechanisms for codeveloping and offering upskilling programs. Lastly, it offers policy recommendations to address the persistent barriers and disincentives that have hindered upskilling and reskilling initiatives in firms and industries.

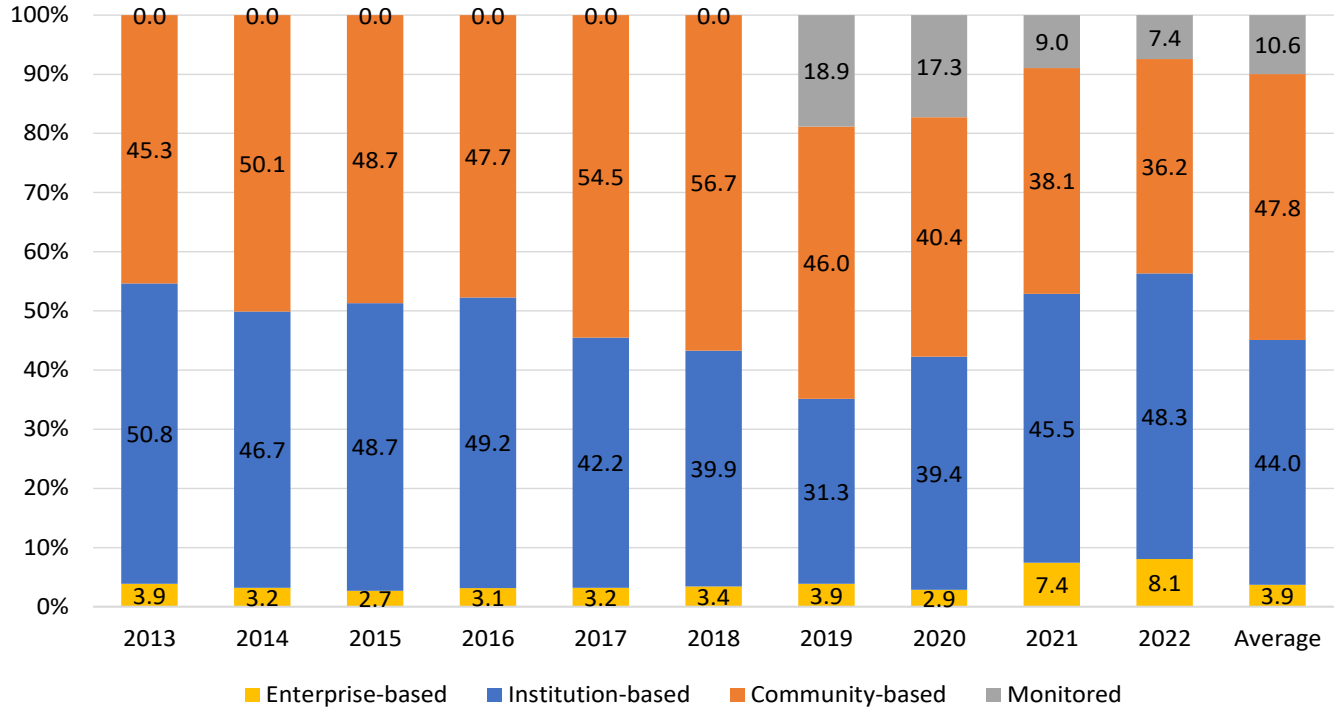
[3] These virtual KIIs involved representatives from 32 offices, institutions, and organizations, including 15 from the government, 10 from the private sector, 5 from the education and training sector, and 2 from nongovernment organizations. For a detailed description, refer to Generalao et al. (2024).

Where are we now?

EBT remains the lowest contributor to training output compared to other modalities.

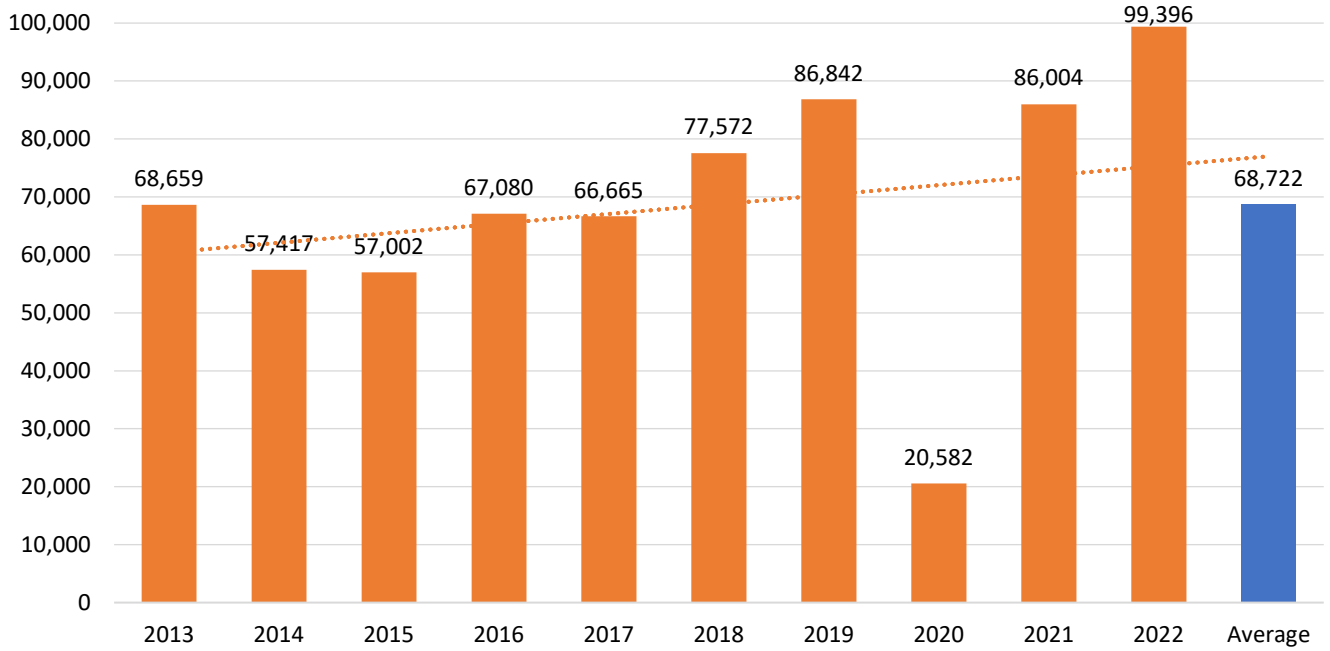
On average, there are only around 70,000 EBT graduates annually, accounting for 3.9 percent of total graduates across all training modalities (Figures 1 and 2). Prior to the COVID-19 crisis, Apprenticeship had the highest number of EBT enrollees and graduates, but it was severely affected by the pandemic. Learnership and Dual Training System (DTS) enrollment and graduation numbers continued to dwindle and remained well below pre-pandemic levels until 2023. The Program on Accelerating Farm School Establishment (PAFSE) and Training Conducted in Farm Schools (TCFS) proved to be more resilient forms of EBT during the COVID-19 crisis (Figure 3).

Figure 1. Share of EBT graduates to total TVET graduates, 2013–2022



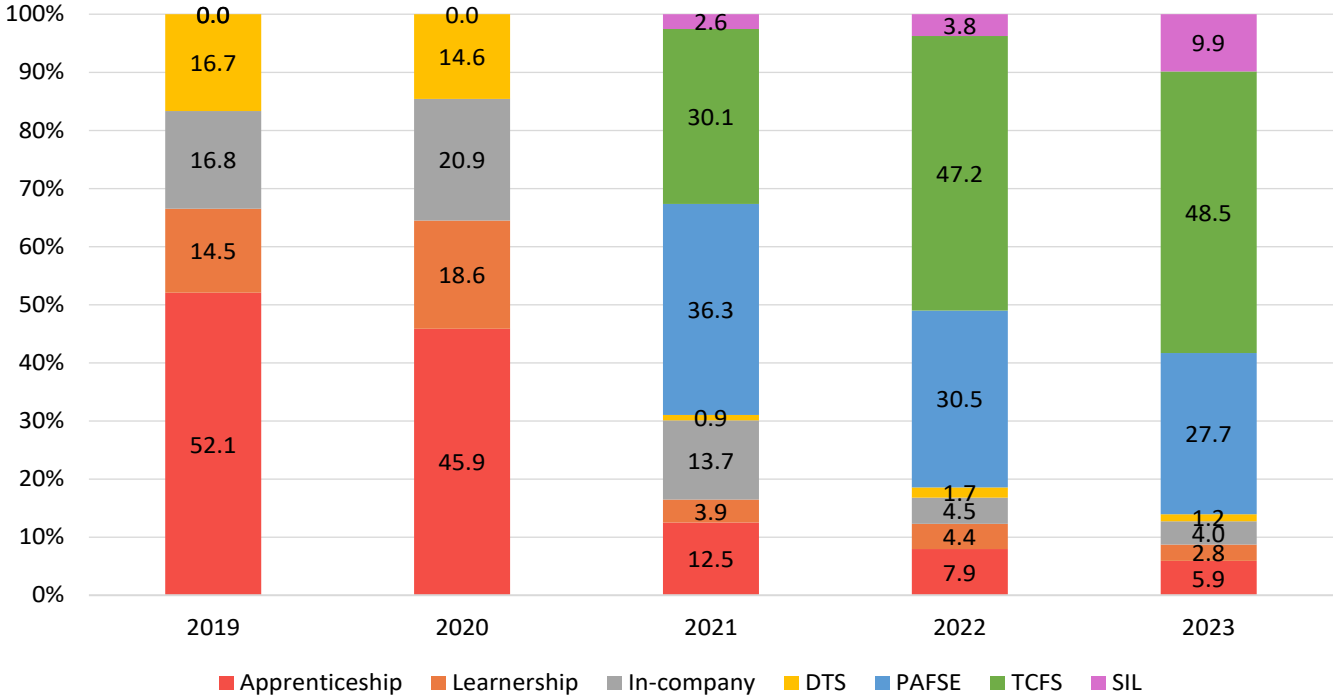
EBT = enterprise-based training; TVET = technical-vocational education and training
Note: The collection and reporting of training output data for monitored training programs only started in 2019.
Source: Generalao et al. (2024)

Figure 2. Number of graduates from EBT programs, 2013–2022



EBT = enterprise-based training
Source: Generalao et al. (2024)

Figure 3. Share of EBT graduates by program, 2019–2023



EBT = enterprise-based training; DTS = Dual Training System; PAFSE = Program on Accelerating Farm School Establishment (PAFSE); TCFS = Training Conducted in Farm Schools (TCFS); SIL = Supervised Industry Learning
Note: The collection and reporting of the training output data for PAFSE, TCFS, and SIL only began in 2021.
Source: Generalao et al. (2024)

EBT implementers can benefit from a multitude of financial and nonfinancial incentives.[4]

Figure 4 summarizes the various incentives available to participating firms or enterprises across various programs. These include nonfinancial incentives, such as technical assistance[5], recognition mechanisms (e.g., certificates of appreciation and recognition, annual TESDA *Kabalikat* Awards), and simplified program registration. Meanwhile, financial incentives, such as tax deductions, are also available for implementers of Apprenticeship[6] and DTS[7]. The value of these incentives depends on the actual and direct expenses associated with the training and is subject to various policy guidelines[8] for each program. PAFSE and TCFS implementers, as well as in-company training, can benefit from various scholarship slots (e.g., Training for Work Scholarship Program, *Tulong Trabaho* Scholarship Program [TTSP], STEP, PESFA, Coco Levy Fund).

Figure 5, on the other hand, summarizes the various benefits available to private technical vocational institutions (TVIs) implementing an EBT program. These benefits include tax exemption on imported equipment under the DTS Act, scholarship slots for TVIs, and other nonfinancial incentives through the System for TVET Accreditation and Recognition (STAR) Program and *Kabalikat* Award from the Technical Education and Skills Development Authority (TESDA).

Tax exemption only applies to imported essential equipment, apparatus, and materials by DTS participating public and private (for-profit and nonprofit) TVIs. Also, private TVIs can be granted slots under various TESDA scholarship programs (e.g., Training for Work Scholarship Program (TTSP) for certain programs they offer. Similar to firms/enterprises, private TVIs can also be recognized by TESDA through its annual TESDA Kabalikat Awards.

Finally, being STAR-rated[9], the private TVI is entitled to various incentives, including exemption from compliance audits and granted allocations for scholarship grants based on their capacity during the period of validity. The higher the STAR rating of the TVI, the greater and more attractive the available incentives that can be offered. Also, recipients can garner recognition and prestige, receive technical assistance from TESDA, and be provided with budgetary allocations to facilitate program and institutional enhancements, such as investments in tools, equipment, and facilities, subject to compliance with relevant regulations and guidelines (TESDA 2022).

Few private TVIs and no firms have utilized the tax incentives for EBT implementation.

There is no recorded data or information indicating that any EBT-participating firm or enterprise has applied for or benefited from the tax incentives outlined in Figures 4 and 5 (Generalao et al. 2024). However, there are rare anecdotal reports of certain private TVIs benefiting from the duty-free imported training equipment over the past three decades of DTS implementation,[10] despite the existence of relevant guidelines detailing the processes and requirements for accessing these incentives.

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[4] For a more detailed discussion of incentives available to firms/enterprises and private TVIs participating in any of the EBT programs, refer to Generalao et al. (2024).

[5] These include expert advice on specialized topics, technical assistance in program registration, and information dissemination.

[6] For Apprenticeship, the tax deductible is equivalent to one-half of the value of labor training expenses but not more than 10 percent of the direct labor expense in Apprenticeship (Articles 57-65 of the Presidential Decree 442 or the Labor Code of the Philipines). However, there are no guidelines on how firms or enterprises implementing the Apprenticeship program can avail themselves of these tax incentives.

[7] Meanwhile, DTS-accredited establishments can benefit from the following (RA 7686):

- Additional deduction of 50 percent of the actual expenses paid to Accredited DTS Educational Institutions (Sec. 9)
- Allowed deduction of donations made for the operation of the system (Sec. 9 and 18)
- Exemption from donor's tax (Sec. 18)

[8] These are outlined in the Labor Code of the Philippines, specifically Articles 57-65 for Apprenticeship and RA 7686 and Bureau of Internal Revenue (BIR) Revenue Regulation 10-96 for DTS.

[9] TVI programs are evaluated based on a set of success indicators and are categorized into different STAR Levels: One Star, Two Star, and Three Star. Each level has varying total weighted scores and corresponding award validity periods. For a more detailed discussion, refer to Generalao et al. (2024).

[10] The crafting of an MOA and a revenue issuance between the BIR and TESDA on EBT data and information management is still pending.

Figure 4. Incentives for firms or enterprises by EBT program

Learnership

- Technical assistance

Apprenticeship

- Technical assistance
- Tax deductible

DTS

- Tax deductible

SIL

- Certificate of appreciation and recognition from the TVET institution

PAFSE and TCFS

- Slots for scholarship grants (e.g., Special Training for Employment Program (STEP), and Private Education Student Financial Assistance (PESFA), Rice Competitiveness Enhancement Fund (RCEF), Coco Levy Fund
- Easier program registration process (relative to UTPRAS)

In-company training

- Slots for scholarship grants
- Certificates of appreciation and recognition and plaque of recognition
- Technical assistance and capability building for trainors and coordinators

EBT = enterprise-based training; TVET = technical-vocational education and training; UTPRAS = Unified TVET Program Registration and Accreditation System; DTS = Dual Training System; PAFSE = Program on Accelerating Farm School Establishment; TCFS = Training Conducted in Farm Schools; SIL = Supervised Industry Learning
Source: Generalao et al. (2024)

Figure 5. Incentives for EBT-participating private TVIs

TESDA STAR

- Allocation of scholarship slots based on absorptive capacity;
- Budgetary allocations for investments in tools, equipment, and facilities
- Exemption from compliance audits;
- Technical assistance
- Recognition and prestige

TESDA Scholarship and other funding

- Allocation of scholarship slots
- Access to various funds (e.g., RCEF, Coco Levy Fund)

TESDA Kabalikat Awards

- Recognition and prestige

EBT = enterprise-based training; TVI = technical vocational institution; RCEF = Rice Competitiveness Enhancement Fund
Source: Generalao et al. (2024)

Why are we here?

There is no clear scope and measure for EBT.
Various stakeholders lack a comprehensive understanding of the definition and scope of EBT, which affects the consistent reporting of its outputs (Generalao et al. 2024). Some stakeholders exclude agriculture-related EBT programs, while others are unaware of certain programs, resulting in confusion due to frequent changes in the scope of EBT, including various inclusions and exclusions.[11]

Additionally, there are potential inaccuracies in the estimation of EBT statistics. For example, the Labor Force Survey (LFS) of the Philippine Statistics Authority (PSA) does not capture labor market information and training output of EBT, which may lead to underreporting of in-house or industry-based training programs. The PSA's 2019/2020 Integrated Survey of Labor and Employment, specifically the module on Job-Related Trainings of Workers, estimates that nearly 2.5 million employees receive job-related training[12] in 2019 from employers with 20 or more workers.. This figure significantly exceeds the estimate of 100,000 EBT graduates in 2022, warranting further examination. The discrepancy may arise from a lack of incentives to report these training programs to TESDA or the possibility that these programs are either unregistered or classified under no training regulations (NTRs).

[11] For instance, TESDA Circular 345-2020 categorized PAFSE, TCFS, and SIL under the EBT modality. Then, TESDA Circular 018-2023 reclassified SIL to the IBT modality.

[12] This includes training programs conducted by employers and those conducted by other institutions but funded by employers, which is consistent with the definition of EBT programs.

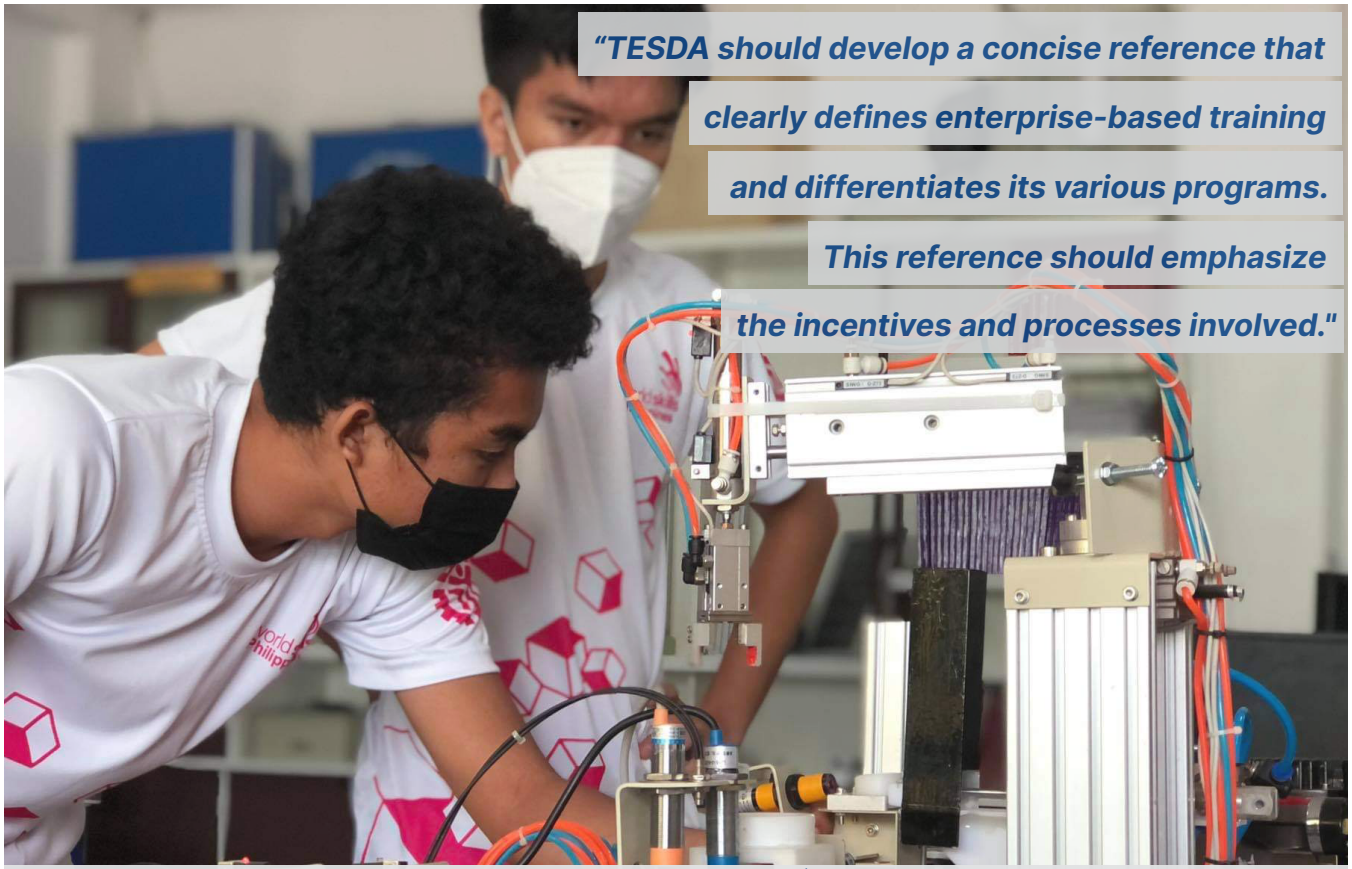

Photo from TESDA website (https://www.tesda.gov.ph/Media/NewsDetail/20174)

Moreover, the training output under PAFSE and TCFS includes programs from training providers that are not necessarily firms, enterprises, or private TVIs.[13] This issue needs to be addressed, as recording these training outputs under EBT, instead of IBT, can lead to misclassification and incorrect estimates for both modalities.

Existing incentive mechanisms are ineffective in promoting EBT participation.

Many firms, enterprises, and private TVIs are unaware of the financial and nonfinancial incentives associated with EBT implementation (Generalao et al. 2024). For those who are aware, the administrative burden of participating in EBT programs often outweighs the potential benefits. The complex registration processes and the extensive requirements for tax incentives discourage both firms or enterprises and private TVIs from participating (Mapa et al. 2016; Orbeta and Corpus 2021; Orbeta 2022).

Firms, enterprises, private TVIs, and TESDA offices lack the financial, technical, and operational capacities to implement, monitor, and promote EBT.

Establishments, especially micro, small, and medium enterprises (MSMEs), face constraints in implementing EBT programs, such as DTS and Apprenticeship, due to requirements for allowances and the high costs of training equipment and other operational expenses. Private TVIs also struggle with financial constraints in EBT implementation, as the operational costs of their training programs can no longer be fully covered by trainee allowances. Additionally, the expense of equipment and tools for in-demand but costly training programs, like backhoe and forklift operations, further adds to the financial burden.

Apart from financial constraints, participating firms also struggle with limited manpower capacity, discouraging them from implementing EBT. Supervisors are burdened with the additional responsibility of overseeing the training, and there may be a shortage of human resources at TESDA for implementing and promoting TVET, including EBT programs (ADB 2021). Moreover, firms and enterprises are deterred from offering and developing EBT programs due to a scarcity of qualified trainers and assessors. Existing trainers are not always industry experts (Generalao et al. 2024), and assessors who also serve as trainers often lack industry experience because of their demanding schedules. Multiple studies (ADB 2021; Orbeta and Corpus 2021; Orbeta 2022) have highlighted the limited incentives available for industry experts to engage full-time in developing training content and curricula. Additionally, the selection criteria for industry experts tasked with designing and developing training programs remain unclear.

The existing list of TVET qualifications may not adequately address the emerging and evolving skills needs of firms and enterprises.

The lengthy processes involved in developing standards and assessment tools risk rendering existing training programs obsolete in the face of new and emerging technologies. Training regulations (TRs) are updated every 3 years or sooner, depending on shifts in skills demand in the labor market (Orbeta and Esguerra 2016; Orbeta and Corpus 2021). However, a recent study finds that updating standards can take up to 8 months (ADB 2021). KII respondents noted that while competency standards (CS) can usually be developed in 3–6 months, full TRs may take up to 2 years. They also cited instances of TRs featuring outdated equipment and tools that no longer align with current and evolving industry standards. Finally, there have been cases where internationally accredited training programs were not seamlessly integrated into TESDA's Unified TVET Program Registration and Accreditation System (UTPRAS) (Generalao et al. 2024).

[13] These include training programs delivered by local government units, TTIs, and higher education institutions.

Persistent issues impact industry TVET boards (ITBs), intersectoral bodies, and agencies in promoting EBT.

Collaboration between TESDA and ITBs remains uncertain due to the lack of established incentives for creating ITBs and unclear performance indicators for monitoring ITBs by TESDA. Challenges also exist with other multisectoral bodies, such as Regional/Provincial Technical Education and Skills Development Committees (R/PTESDCs). While RTESDCs are chaired by industry representatives, PTESDCs are led by provincial governors. This setup limits interaction between RTESDCs and PTESDCs and hampers discussions on promoting EBT and updating apprenticeable and learnable occupations. Furthermore, national government agencies lack coordination in promoting EBT. The absence of a policy framework discourages firms, enterprises, and private TVIs from accessing EBT incentives.[14] Additionally, there is a lack of effective linkage between the labor market information divisions of the Department of Labor and Industry (DOLE) and TESDA in collecting and sharing TVET-related and EBT-specific data.

What must we do to move forward?

Deepen understanding and appreciation of EBT while improving its measurement

Improve the definition and classification of EBT

TESDA should develop a concise reference[15] document that clearly defines EBT and distinguishes its various programs. This reference should emphasize the incentives and processes involved. Additionally, TESDA should review and refine the guidelines for PAFSE and TCFS, specifically those related to training output reporting. This will ensure accurate reporting of EBT statistics and prevent issues such as double counting or inaccurate estimation.

Improve the collection of EBT data and information

TESDA should incorporate more EBT-specific indicators into its national plans and strategies, following international standards.[16] To effectively manage EBT data and information, closer coordination among government agencies (e.g., DOLE, TESDA) is necessary. Reviewing and updating PSA's existing survey instruments can also help identify and address gaps in capturing graduates' EBT training output and labor market information. This approach will enhance the analysis of EBT's impact on labor market outcomes and guide policymakers in allocating public funds to support specific training modalities, programs, and cohort groups.

Strengthen existing incentive mechanisms and introduce new ones

Streamline incentive processes and enhance allocation transparency

TESDA should conduct an in-depth review of existing financial and nonfinancial incentives for EBT, eliminating redundancies in the processes and requirements for acessing these benefits. Clear, straightforward guidelines should be developed, accompanied by measurable, performance-based indicators such as employment rates, employability of graduates, and profiles of scholarship beneficiaries, to ensure effective allocation of incentives. Additionally, TESDA should revisit the criteria for nonfinancial incentive mechanisms, such as the Kabalikat Awards and STAR program, to ensure a more level playing field through more balanced and relevant recognition programs.

[14] Only recently did BIR and TESDA closely coordinate to craft policy issuances, such as memorandum of agreement and revenue issuance, to facilitate the availment of tax incentives (Generalao et al. 2024).

[15] Section 4 of Generalao et al. (2024) includes a more elaborate discussion of the key elements of this guide, with a comprehensive table summarizing the details of each EBT program. Policymakers can use this as a reference in understanding the existing scope and definition of EBT.

[16] These indicators can include those identified by the Inter-Agency Working Group on TVET Indicators, which is composed of the European Training Foundation, European Commission, International Labour Organization, Organisation for Economic Co-operation and Development, United Nations Educational, Scientific and Cultural Organization, and World Bank.

Promote EBT incentives

TESDA should strengthen partnerships and collaborations with the industry, academe, and development partners to promote and market EBT. This can be done through online platforms, like social media and websites, and by conducting physical events, such as roadshows (UNESCO et al. 2023). Moreover, TESDA could develop an EBT incentives calculator, akin to the Department of Finance's tax savings calculator, to integrate the financial incentives. As noted by Mapa et al. (2016), the short- and long-term benefits of implementing DTS can be seen as "savings" for firms, enterprises, or private TVIs. The calculator should be promoted through innovative channels, similar to Australia's Apprenticeships Ambassadors Program, leveraging influencers and other potential ambassadors with TVET backgrounds to enhance visibility and engagement.

Implement alternative financing mechanisms to support firms and enterprises

TESDA should implement alternative financing mechanisms, following comprehensive consultations with stakeholders. These mechanisms could include (1) establishing a sectoral training levy system managed by ITBs, (2) implementing targeted public procurement, and (3) incorporating payback clauses.

Under the sectoral training levy system, firms would contribute a proportional or progressive percentage of their payroll to a training fund, which would finance training expenses. MSMEs might be exempt from this contribution. The national government can provide support by linking funding to performance-based target indicators, similar to the best practices in scholarship slot allocation. More developed ITBs can lead in implementing this scheme.

A targeted public procurement scheme can be introduced, which would award public contracts to enterprises based on specific training requirements. This approach can increase the availability of capital-intensive training programs, such as backhoe and forklift operations. Under this scheme, companies could partner with TVIs for the theoretical component of the training while handling the practical or hands-on segment themselves. Additionally, payback clauses can be included in training arrangements to protect firms' or enterprises' investments if trainees leave the company after completing their training. These payback clauses could be financed through the levy fund described previously.

Create a sustainable pool of trainers, assessors, and curriculum developers from the industry

To create a sustainable pool of industry experts, the accreditation process should be made more accommodating to industry specialists. This should be complemented by efforts to professionalize trainers and assessors according to a national framework that defines selection criteria and processes,[17] along with offering better incentives (e.g., higher remuneration, allowances). Initial focus should be on reengaging inactive trainers and assessors in TESDA's existing repository. Additionally, returning OFWs who have benefited from ongoing programs of TESDA like the TESDA *Abot Lahat ang* OFWs—designed to upskill and retool them and their dependents—could also be potential sources of trainers and assessors.

Assess and revamp the development of training programs

Decentralize the promulgation and certification of training regulations (TR) to industries

To address the persistent bottlenecks in developing TRs and effectively respond to changes in labor demand, TESDA should empower the private sector by certifying institutions that can promulgate, develop,

[17] This can be similar to the Commission on Higher Education (CHED)'s Technical Panels, which cover 100 discipline areas. These areas comprise renowned experts who guide the Commission on various tasks throughout their four-year term (CHED n.d.)

and certify TRs. The certified institutions would then submit their proposed TRs to TESDA for information and coordination. This revamped approach on TR development and certification offers numerous benefits. Industry certification can enhance the quality and employability of trainees, enabling them to work anywhere within a sector.[18] Additionally, this decentralized process can streamline bureaucratic procedures and improve access to funding support for updating TRs.

Increase involvement of industry experts in designing and developing training programs

To bridge the gap between TRs and actual industry practices, it is crucial to consult with industry experts during the design and update of training programs. This involvement includes assessing the training equipment, tools, certification, and assessment methods to ensure alignment with current industry standards and needs.

Boost efforts to scale the implementation of the Adapt and Adopt policy

TESDA should enhance the implementation of its Adapt and Adopt policy[19] to ensure the successful adoption of internationally accredited training programs. Scaling up this policy can streamline and expedite the development process of CS and TRs. Effective collaboration with stakeholders, such as ITBs, academic institutions, and labor representatives, is vital for the effectiveness of this policy.

[18] An example is the Assessment, Certification, and Accreditation System (ACAS) by Primary Structures Educational Foundation Inc.'s School of Knowledge for Industrial Labor, Leadership, and Service. ACAS provides certifications in building assistance, indicating that certified individuals have proficiency in tasks related to carpentry, masonry, plumbing, and tilesetting. For more information on this initiative, refer to Generalao et al. (2024).

[19] This policy requires the inclusion of industry-developed competency standards and training regulations from multilateral agencies and international development partners, especially for advanced technologies and higher-level qualifications (TESDA 2018). For a detailed discussion, refer to Generalao et al. (2024).

Improve existing interagency and intersectoral mechanisms to increase industry involvement

To enhance private sector participation in TVET, it is essential to establish clear roles and responsibilities for EBT stakeholders and ensure their effective collaboration. This is especially critical for interagency bodies like ITBs and R/PTESDCs, which are designed to increase industry involvement in offering and developing upskilling programs.
To improve the efficiency and effectiveness of ITBs and R/PTESDCs, clear, measurable indicators related to their operations, such as the number of EBT implementers, the volume of EBT training programs developed, partnerships established, and the number of employed graduates, must be established. Once these targets are achieved, the overall benefits for ITBs must be clearly defined. Additionally, policy issuances guiding the representation in R/PTESDCs need careful review to ensure better industry participation in their respective committees. Increasing the representation of the industry sector in national, sectoral, and local boards is also a critical step to ensure more effective engagement and contribution from the industry. (Orbeta and Esguerra 2016).

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